SCORING RUBRIC — 6-CRITERION EVALUATION FRAMEWORK

Composite Score: 0–10 | Weights: Valuation 25% · Balance Sheet 20% · Catalyst 20% · Selloff Quality 15% · Industry 10% · Analyst 10%

■ FRAMEWORK OVERVIEW

Description	Each criterion is scored 0-10. Multiply by weight. Sum = Composite Score (0-10). Higher is better.
Minimum Pass Score	5.0
Strong Buy Threshold	7.5

■ VALUATION SCORE (Weight: 25%)

How cheap is the stock on an absolute and relative basis?

Score Guide

Score	Meaning
9-10	Trading at multi-year or historical trough multiples, 40%+ implied upside to DCF/consensus, clear margin of safety
7-8	Meaningfully below historical average and peer median, 25-40% implied upside, good margin of safety
5-6	Modestly below fair value, 15-25% implied upside, limited but real margin of safety
3-4	Near fair value, 5-15% implied upside, minimal margin of safety
1-2	At or above fair value, upside depends on multiple expansion that isn't well-supported
0	Overvalued on all metrics

Key Metrics to Use

• Forward P/E vs. sector average and own 5-year average

• EV/EBITDA vs. peers and history

• P/FCF (price-to-free-cash-flow) — often most reliable

• DCF implied upside using conservative assumptions (WACC +100-200bps, terminal growth -50bps vs consensus)

• Distance from analyst consensus target (average, not just high)

■ BALANCE SHEET SCORE (Weight: 20%)

Can the company survive and fund itself through the downturn without diluting equity holders?

Score Guide

Score	Meaning
9-10	Net cash position or near-zero net debt, investment grade credit, FCF strongly positive, can self-fund recovery
7-8	Low leverage (Net Debt/EBITDA < 1.5x), strong FCF, no near-term debt maturities, investment grade
5-6	Moderate leverage (1.5-2.5x), adequate FCF coverage, manageable maturities, investment grade or borderline
3-4	Higher leverage (2.5-3.5x), tighter FCF, some debt maturity risk within 2 years, sub-IG possible
1-2	Elevated leverage (3.5-4.5x), FCF barely covering interest, maturity wall risk, sub-investment grade
0	Distressed balance sheet, refinancing risk, possible covenant breach

Key Metrics to Use

• Net Debt / LTM EBITDA

• Interest Coverage Ratio (EBIT / Interest Expense)

• Free Cash Flow Yield (FCF / Market Cap)

• Debt maturity schedule (any maturities within 24 months?)

• Credit rating (S&P; / Moody's)

• Available revolving credit facility

■ CATALYST SCORE (Weight: 20%)

Are there specific, time-bound, identifiable events that could drive a re-rating?

Score Guide

Score	Meaning
9-10	2+ high-probability catalysts with clear timelines within 12 months, any one of which would likely drive 15%+ move
7-8	1-2 solid catalysts within 12-18 months, reasonable probability, meaningful price impact if hit
5-6	Catalysts exist but are either slow-moving (multi-year), lower probability, or smaller magnitude
3-4	Vague catalysts — 'things will get better' without specific triggers or timelines
1-2	No clear near-term catalysts; thesis relies on long-term mean reversion only

0	Negative catalyst risk dominates (more likely bad news than good)

Key Metrics to Use

• Specific upcoming clinical trial readouts with dates

• Earnings inflection points (when does revenue trough and reverse?)

• Regulatory decisions (FDA approvals, label expansions) with PDUFA dates

• Management changes / new strategic plans

• Buyback / dividend announcement potential

• M&A; likelihood (acquiree or acquiror)

• Contract wins / renewals expected

■ SELLOFF QUALITY SCORE (Weight: 15%)

Is this a high-quality selloff (company-specific, temporary, overreaction) or a low-quality one (structural, justified)?

Score Guide

Score	Meaning
9-10	Classic overreaction — single event caused panic selling, fundamentals intact, market extrapolating worst case, sentiment at extreme
7-8	Clear company-specific issue that is largely fixable; some uncertainty remains but core franchise undamaged
5-6	Mix of company-specific and structural issues; fixable but will take time and execution; some risk of permanent impairment
3-4	Significant structural headwinds alongside company issues; recovery possible but requires multiple things going right
1-2	Primarily structural decline with temporary bounce potential; not a business you want to own long-term
0	Secular decline — the underlying business is being disrupted and won't recover

Key Metrics to Use

• What specifically caused the selloff (name the events)

• How does the selloff compare to the actual fundamental impairment?

• Are sell-side analysts who know the business best still constructive?

• Has insider buying occurred near lows?

• Is the backlog / customer base / market share intact?

• Is this a repeat offender (multiple self-inflicted wounds) or isolated event?

■ INDUSTRY PROTECTION SCORE (Weight: 10%)

How insulated is the core demand from macro deterioration (credit stress, consumer weakness, recession)?

Score Guide

Score	Meaning
9-10	Demand is completely inelastic to economic cycles — life-saving drugs, essential utilities, government-contracted defense
7-8	Highly defensive — healthcare services/devices, consumer staples with strong brands, critical infrastructure
5-6	Mostly defensive with some cyclical exposure — specialty industrials, B2B services with long contracts
3-4	Mixed — some defensive demand but meaningful cyclical exposure; would feel a moderate recession
1-2	Significant cyclical exposure; revenues meaningfully correlated with GDP / consumer health
0	Highly cyclical; would be severely impacted by the bear macro scenario the investor expects

Key Metrics to Use

• Revenue correlation with GDP / consumer confidence historically

• % of revenue from recurring/contracted sources

• Government / institutional vs. consumer end markets

• Pricing power in a downturn

• Historical revenue performance in 2008-09 and 2020 recessions

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■ ANALYST CONVICTION SCORE (Weight: 10%)

What does the smart money (analysts with deep knowledge of the company) think, and how confident are they?

Score Guide

Score	Meaning
9-10	Strong buy consensus (75%+ buys), low price target dispersion, recent upgrades from credible banks, JPM/GS/MS constructive
7-8	Majority buy-rated (55-75%), reasonable target dispersion, stable or improving analyst sentiment
5-6	Mixed consensus (40-55% buys), moderate dispersion, some recent downgrades offset by holds
3-4	Mostly hold-rated (30-40% buys), high target dispersion, recent downgrade cycle
1-2	Weak consensus (< 30% buys), sell ratings present, active downgrade cycle ongoing

0	Consensus sell, multiple high-profile downgrades, targets coming down sharply

Key Metrics to Use

• % Buy / % Hold / % Sell ratings

• Recent rating changes (upgrades vs. downgrades in last 30-60 days)

• Target price standard deviation (dispersion = uncertainty = opportunity if you have conviction)

• Implied upside in consensus target vs. bear case target

• Specific commentary from JPMorgan, Goldman, Morgan Stanley — the most influential banks

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■ COMPOSITE SCORE INTERPRETATION

Score Range	Label	Action	Expected Return
8.0-10.0	**STRONG BUY**	High conviction entry; suggest 3-5% position size	35-60% over 12-18 months
6.5-7.9	**BUY**	Solid entry; suggest 2-3% position size	20-35% over 12-18 months
5.0-6.4	**SPECULATIVE BUY / WATCH**	Small position or watchlist; wait for more catalyst clarity	10-20% over 12-18 months, higher variance
3.0-4.9	**HOLD / PASS**	Do not initiate; revisit if price declines further or catalyst materializes	Unclear; risk/reward not compelling at current price
0-2.9	**AVOID**	Does not fit strategy; structural issues or valuation too rich	Negative expected value or insufficient upside for the risk